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CASE #	CASE NAME	HEARING NAME
CVME2515647	HERTENSTEIN VS BRADLEY ROAD HOLDINGS LLC	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Plaintiff's evidentiary objections **overruled**.

Defendant has not demonstrated that any arbitration agreement exists between the parties. Accordingly, the **MOTION is DENIED**

Proof of Service is proper

Plaintiff Catherine Hertenstein alleges she was subjected to substandard care at Sun City Gardens, a senior residential facility in Menifee, California. Plaintiff alleges elder abuse, neglect, and negligence arising from eight falls she sustained at the facility. Plaintiff also repeatedly left the facility unsupervised, which is dangerous given her dementia and high risk of falling.

When Plaintiff first became a resident of the facility, her Power of Attorney, Danielle Selisker¹, executed a Residence and Care Agreement on behalf of Plaintiff. This agreement contained an arbitration clause that Defendant argues is applicable and covers Plaintiff's claims. Defendant brings the instant motion to compel arbitration arguing the agreement is valid, applicable to Plaintiff's claims, and is not unconscionable.

In her Opposition, Plaintiff argues no valid agreement to arbitrate exists because the general Power of Attorney appointing Danielle Selisker excluded powers related to "claims and litigation," so Selisker did not have authority to bind Plaintiff's claims to arbitration. Second, Plaintiff argues given her advanced age of 100 years, the motion must be denied so Plaintiff's claims can be decided within 120 days pursuant to CCP §36(a). Finally, Plaintiff argues the motion must be denied because the Arbitration Agreement is unenforceable due to unconscionability in its terms and formation.

In Reply, Defendant argues Plaintiff's trial preference argument is speculative and does not provide a basis to deny the motion. Defendant further argues Selisker possessed the authority to execute the Arbitration Agreement on Plaintiff's behalf. Finally, Defendant argues the agreement is not unconscionable.

Upon the motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The

¹ Danielle Selisker is Plaintiff's granddaughter.

petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.)

“In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability . . . Parties may submit declarations when factual issues are tendered with a motion to compel arbitration.” (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Plaintiff’s Evidentiary Objections

Plaintiff makes seven (7) objections to Defendant’s evidence submitted in support of the motion. Plaintiff objects to various sentences and both exhibits attached to the Patricia Russell declaration. All statements and exhibits are supported by Russell’s personal knowledge and proper foundation has been laid. To that end, these objections are overruled.

I. Existence of an Arbitration Agreement

The party seeking to compel arbitration has the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (CCP § 1281.2; *Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.) California Rules of Court, Rule 3.1330 provides that a party seeking to compel arbitration must attach a copy of the agreement to the petition or the petition must set forth the provisions of the agreement. The moving party needs only to allege the existence of an agreement, and once they have done so the burden shifts to the responding party to prove the falsity of the purported agreement. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.)

Defendant provides the declaration of Patricia Russell, administrator at Sun City Gardens. Russell provides a copy of the Residence and Care Agreement signed by Danielle Selisker on behalf of Plaintiff. (Russell Decl. ¶3, Ex. A.) Russell also provides a copy of the Power of Attorney pertaining to Plaintiff designating Danielle Selisker as her power of attorney. (Russell Decl. ¶5, Ex. B.) The Arbitration Agreement says, in relevant part:

The Parties agree that in the event claims or disputes cannot be resolved pursuant to Section A, above, unless expressly prohibited by law, any action, claim, dispute or controversy of any kind, whether in contract or in tort, statutory or common law, personal injury, property damages, legal or equitable or otherwise, arising from or related to the Residency Agreement or the Resident’s residency, care, or services at Community, including

disputes involving the scope of this Arbitration Agreement, or other dispute involving acts or omissions that cause damage or injury to either Party...SHALL BE RESOLVED EXCLUSIVELY BY BINDING ARBITRATION AND NOT BY LAWSUIT OR RESORT TO THE JUDICIAL PROCESS..."

The Agreement is signed by Danielle Selisker on behalf of Catherine Hertenstein and dated February 16, 2023. Defendant has met its initial burden to show the existence of an arbitration agreement between the parties.

In Opposition, Plaintiff argues Selisker did not have the authority to bind Plaintiff's claims to arbitration. Specifically, Plaintiff argues the plain language of the Power of Attorney indicates Selisker had no actual written authority to waive Plaintiff's right to a jury trial because it excludes powers relating to "claims and litigation." The General Power of Attorney form Plaintiff executed chose four (4) of the ten (10) listed powers: "goods and services transactions;" "banking transactions;" "insurance transactions;" and "personal relationships and affairs." (Russell Decl. Ex. B.) Plaintiff notes the power titled "claims and litigation" was not selected, meaning Plaintiff specifically chose not to imbue Selisker with this power.

Plaintiff relies on the recent California Supreme Court case, *Harrod v. Country Oaks Partners, LLC* (2024) 15 Cal.5th 939 (*Harrod*), as governing the authority provided by a Power of Attorney for signing arbitration agreements.

The issue in *Harrod* concerned whether a Health Care Power of Attorney authorized a patient's nephew, who was appointed as his health care agent under the Power of Attorney, to sign an arbitration agreement on behalf of the patient. The Court found that it did not, because arbitration is not a healthcare decision. In coming to its conclusion, the Court distinguished the Health Care Power of Attorney from a Uniform Statutory Form Power of Attorney. The Court noted, contrary to Health Care Decisions Law:

The Uniform Statutory Form Power of Attorney Act offers a form that lists categories of statutorily defined powers that a principal may choose to delegate. (§§ 4400, 4401, 4450–4463.) By placing initials next to a listed, pre-defined power, the principal may authorize an agent to act in "any lawful way with respect to the ... initialed subjects," which include real or personal property transactions, banking transactions, business operating transactions, beneficiary transactions, claims and litigation, or personal and family maintenance. (§ 4401.) The preamble to the form states, "THIS DOCUMENT DOES NOT AUTHORIZE ANYONE TO MAKE MEDICAL AND OTHER HEALTH-CARE DECISIONS FOR YOU." (§ 4401; see Stats. 1994, ch. 307, § 16.) This admonition dovetails with the Legislature's prescription that the Power of Attorney Law applies to "statutory form powers of attorney" but not to "powers of attorney for health care" under the Health Care Decisions Law. (§ 4050, subd. (a)(1)–(2); see Stats. 1999, ch. 658, § 27, p. 4853.)

Looking at the definitions of the powers selectable under the Uniform Statutory Form Power of Attorney Act — powers the statute distinguishes from health care decisions — there are notable inclusions. For instance, the power to make decisions about “personal and family maintenance” includes the power to “[p]ay for ... necessary medical, dental, and surgical care, hospitalization, and custodial care.” (§ 4460, subd. (a)(3).) The power to make decisions about “claims and litigation,” moreover, includes the power to “submit to arbitration ... with respect to a claim or litigation” and to “execute and file or deliver a ... waiver, ... agreement, or other instrument in connection with the prosecution, settlement, or defense of a claim or litigation.” (§ 4459, subds. (d), (e).) Additionally, for each power granted in a statutory form power of attorney — be it a power over personal maintenance or other matters — the agent is separately authorized, in exercising power for that subject, to do a variety of things, including to “[p]rosecute, defend, submit to arbitration, settle, and propose or accept a compromise with respect to, a claim existing in favor or against the principal,” and to “do any other lawful act with respect to the subject.” (§ 4450, subds. (b), (d), (j).)

(*Harrod*, *supra*, 15 Cal.5th at 956 [emphasis added].)

The Court also stated: “[w]e first note the Legislature’s specific references in the Uniform Statutory Form Power of Attorney Act to an agent’s power to settle claims or submit claims to arbitration. Such references are absent from the Health Care Decisions Law.” (*Id.* at 956–957.)

Harrod found the execution of the arbitration agreement in connection with a residential facility admissions process was not a health care decision within the health care agent’s authority. Here, Plaintiff did not execute a health care power of attorney so the facts of *Harrod* are distinguishable. The Power of Attorney form used in this case is titled “General Power of Attorney.” As noted above, the form lists ten (10) separate powers that can each be checked individually to tailor the form to the principal’s wishes. The form states: “The powers chosen below shall have the full force and effect given to them by their full enumeration as laid out in the text of the Power of Attorney Act of the laws of the State of California.” Additionally, “California” is handwritten on an empty line to allow the form to be tailored to different states. The form also states in a pre-printed paragraph at the beginning: “This document does not authorize anyone to make medical or other health care decisions for you.” (Russell Decl. Ex. B.) Most importantly, the specific line for the power over “claims and litigation” is unchecked meaning Plaintiff did not intend to authorize Selisker to have that power. (*Ibid.*)

Defendant cites three cases in Reply: *Garrison v. Superior Court* (2005) 132 Cal.App.4th 253 (*Garrison*); *Hogan v. Country Villa Health Services* (2007) 148 Cal.App.4th 259 (*Hogan*); and *Gordon v. Atria Management Co., LLC* (2021) 70 Cal.App.5th 1020 (*Gordon*). Importantly, *Harrod* disapproved of both *Garrison* and *Hogan*. In discussing *Garrison* and *Hogan*, *Gordon* made the following observation: “Those cases merely tell us that a health care power of attorney is sufficient to confer

authority to agree to an arbitration provision within an admission agreement..." (*Gordon, supra*, 70 Cal.App.5th at 1030.)

Again, Plaintiff did not execute a health care power of attorney. In fact, the General Power of Attorney Plaintiff signed specifically says it does not authorize anyone to make medical or other health care decisions for Plaintiff. In *Gordon*, the operative durable power of attorney advised it did not authorize anyone to make medical or health care decisions on the principal's behalf, but it did specifically empower the agent to "demand, arbitrate, and pursue litigation on [principal's] behalf concerning all rights and benefits to which [principal] may be entitled..." (*Gordon, supra*, 70 Cal.App.5th at 1022-1023.) There is no such designation in the power of attorney form at play in the instant matter.

The only powers Plaintiff delegated to Selisker were the powers over goods and services transactions, banking transactions, insurance transactions, and personal relationships and affairs. Defendant has not provided any authority that demonstrates Selisker had the authority within these four specific grants of power to bind Plaintiff to an arbitration agreement in connection with her residence at Defendant's facility. The only authority Defendant cites in support of its arguments – *Gordon*, *Garrison*, and *Hogan* – are factually distinguishable and do not support granting the instant motion.

Since the executed General Power of Attorney did not grant Selisker the power to either make health care decisions for Plaintiff or make decisions relating to "claims and litigation," Selisker did not have authority to sign the arbitration agreement on Plaintiff's behalf. As a result, there is no arbitration agreement between the parties.

The parties also discuss the delegation clause in the arbitration agreement itself. Defendant argues if there is any dispute about whether the agreement is enforceable, this Court must still order the parties to arbitration so the arbitrator can decide the issue of enforceability. However, since there is no arbitration agreement between the parties, the court need not consider the delegation clause or its effect.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2404340	LAFAYETTE FEDERAL CREDIT UNION VS LIYANAPATABENDY	MOTION TO ENTER JUDGMENT PURSUANT TO CCP § 664.6

Tentative Ruling:

DENIED: No showing the Court reserved jurisdiction to enforce settlement pursuant to CCP 664.6..